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SECTION 2

Computer Boom Lifts Tandy Sales Even as Its Market Share Declines

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FORT WORTH, Texas — When Tandy Corp. introduced its first personal computers back in 1977, its major competitors could be counted on one hand. Those were the early days of the small computers, and the electronics retailer quickly cornered more than one-fifth of the total market.

Since then, the market has been invaded by hordes of small, scrappy computer makers (and some not so small, such as International Business Machines Corp.). At Tandy, six years of stiff competition have trimmed its share of the personal computer market to about 17%, and analysts say the company could lose another percentage point or two of market share this year.

But the operator of the ubiquitous Radio Shack chain is hardly conceding its status as a small-computer heavyweight. Losing some market share isn't so bad, the company says, so long as the total market is booming. And that it is: Personal computer sales industry-wide hit \$4.7 billion last year, and are expected to increase about 65% to \$7.76 billion this year.

"Our experience is that in almost every product category, we lose market share after the boom stage in a market," says Garland Asher, Tandy's director of financial planning. "But we just don't care about market share," he argues. What counts are profits, he says.

Refusing Further Price Cuts

He offers an example: Although Texas Instruments Inc., Warner Communications Inc. and other makers of home computers are continuing to cut prices on some models to attract buyers, Tandy has refused to further cut the price of its comparable \$300 model. "In the next 12 months, we'll lose market share in the low end of the home computer market," concedes Mr. Asher. "But we're simply not going to shoot ourselves in the foot" to make sales, he says.

Still, small-computer sales will constitute an increasing share of Tandy's overall sales, he says. In the fiscal year ending June 30, the company says it expects 35% of its projected \$2.5 billion in total sales to come from small computers, up from 31% in 1982. Tandy boasts that it expects to be the first of the top three personal computer makers (IBM and Apple Corp. are the other two) to reach \$1 billion in annual sales from the equipment.

Tandy was formed by two Fort Worth businessmen in 1921, its line of business being shoe leather and shoe-repair supplies. In 1963, Charles Tandy, son of one of the company's founders, purchased a mail-order electronics concern in Boston, and began shifting Tandy from leathercrafts into elec-

tronics. One thing didn't change however: As with leathercrafts, the company stressed direct mail advertising, fast turnover and the introduction of new products.

By 1978, Tandy had some 7,000 electronics stores world-wide, under the now-familiar red Radio Shack sign, and had spun off its leather goods operations (currently it has more than 8,500 stores). In 1977, it began opening a line of stores specializing in personal computers. Now it has 466 computer stores, 641 computer departments in Radio Shack stores world-wide, and is opening 12 additional computer stores each month.

No other computer maker has a distribution system like Tandy's. The company's retail stores allow it to give customers such

which has a 16-bit central processor capable of making calculations faster than most other small computers.

Mr. Asher, Tandy's financial planner, doesn't believe radically new hardware will hit the market in the near future. "No one is going to blow the market away with a new piece of hardware at this point," he says, explaining that everyone has access to the same hardware components. Rather, he expects to see spin-offs of existing hardware, particularly of IBM's personal computer.

Tandy has said it will offer six new products in early 1983, and all of the three already announced are variations on existing equipment. The Model 12, for instance, is an improvement over the company's computer workhorse, the \$3,500 Model II. The Model 12 is expected to attract business customers needing relatively large data-base storage space. Then there is the "Mini Executive Work Station," a new portable computer to fit the niche between the popular Osborne Computer Co. portable and smaller battery-operated models. Finally, the company began offering a new hard-disk drive, an external memory device tailored for the Model 12, and holding more data than the company's previous model.

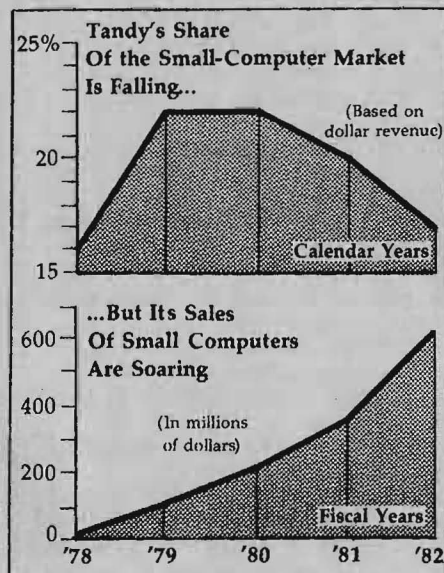
Step Toward Compatibility

Mr. Asher says that Tandy may soon fill the niche between Tandy's \$400 top-of-the-line home computer and personal computers costing \$1,000 and more. And he doesn't rule out joining other computer-marketers in bringing out a product closely resembling IBM's \$2,900 personal computer.

For the first time, Tandy is conceding that much of the evolution in software will occur outside its doors. Hence, when Tandy introduced its Model 16 computer last year, it bought the machine's operating system from an outside firm, a first big step toward making its equipment compatible with other companies' equipment and programs.

Last fall, Tandy also began to license programs for its computers written outside the company. During the first two months, the company received applications from 838 companies, and in the quarter ended Dec. 31 it paid royalties on 167 software packages developed for its computers.

Although Tandy's network of retail stores has given it an edge on competition so far, some people wonder if the company is as well-positioned to sell its small computers to large corporations. That market is growing at a rate of 45% or so a year and is expected to account for \$1.2 billion in sales of computers by 1983. It's doubtful that purchasing agents of the nation's biggest corporations do a great deal of buying at the local Radio Shack, and Tandy has only 25 national sales representatives.



Sources: Future Computing Inc.; Tandy

on-the-spot after-sale services as training, the updating of software and the repair of faulty equipment. Furthermore, the stores give the company complete control over pricing. This provides an edge on competitors, who must struggle to maintain their profit levels against the discounting of independent computer stores and other retailers, the company says.

Tandy believes its 62 years of retailing experience also have taught it to separate the big sellers from the losers. "We've been through the zoo with stereos, CB radios, hand-held calculators and the like, so we know where the animals are," says John V. Roach, Tandy's chairman and chief executive officer.

Currently, the company is alone in offering a product in every segment of the small-computer market. Its products range from inexpensive hand-held models to its high-performance TRS 80 Model 16 computer,